FINAL TERM EXAMINATION
Fall 2008
MGT602- Entrepreneurship (Session - 1)

Marks: 80

Question No: 1 (Marks: 1) - Please choose one
In some countries, point of purchase displays are not allowed in retail stores. Such differences are studied by international entrepreneurs under _____.
Political Environment
Cultural Environment
Technological Environment
Economic Environment

Question No: 2 (Marks: 1) - Please choose one
The intersection of knowledge and a recognized social need to start a product development process is called:
Iterative synthesis
Product-evolution process
Ordinary innovation
Situation analysis

Ref: Iterative synthesis: The intersection of knowledge and social need that starts the product development process **(Handouts Page No. 07)**
Question No: 3 (Marks: 1) - Please choose one
A set of reasons for engaging in a particular behavior, especially human behavior is known as _____.
Values
Vision
Entrepreneurship
Motivation

Reference
Motivation is a reason or set or reasons for engaging in a particular behavior, especially human behavior as studied in psychology and neuropsychology.
http://www.selfgrowth.com/articles/Definition_Intrinsic_Motivation.html

Question No: 4 (Marks: 1) - Please choose one
_____ System is necessary for expansion or elimination of intrapreneurial units.
Management
Evaluation
Reward
Training
Step 9: The organization needs to implement an evaluation system that allows successful units to expand and unsuccessful ones to be eliminated. (page 21)
Question No: 5 (Marks: 1) - Please choose one
Which one of the following factors does not affect a person for being an entrepreneur?

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Work history
Education
Personal values
Nationality

A potential entrepreneur can be male or female and of any race or nationality.(page 22)
Question No: 6 (Marks: 1) - Please choose one
Which one of the following factors does not affect a person for being an entrepreneur?
Family background
Education
Personal values
Gender
Question No: 7 (Marks: 1) - Please choose one
Individuals who give psychological support to an entrepreneur are called:
Roles models
Moral support networks
Professional support networks
Informal networks

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Moral-support network

Individuals who give psychological support to an entrepreneur

Question No: 8 (Marks: 1) - Please choose one
The evaluation criteria for the new product should include all of the following, EXCEPT:
Determination of market demand
Determination of the suppliers
Pricing and marketing policies of other competing firms
Product should be profitable

Question No: 9 (Marks: 1) - Please choose one
Which one of the following is a method for obtaining new ideas and solutions by focusing on problems?
Product inventory analysis
Gordon method
Checklist method
Scientific method

Ref: 3. Problem inventory analysis– it is a method for obtaining new ideas and solutions by focusing on problems.
http://www.ebizstartups.com/Methods_of_Generating_New_Ideas_for_Entrepreneurs.html
Question No: 10 (Marks: 1) - Please choose one

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Which one of the following reviews the trends and competitive strategies?
Environmental analysis
Product forecast
Contingency plan
Industry analysis

http://books.google.com.pk/books?id=s01P0agnLPUC&pg=PA138&dq=Which+one+of+the+following+is+a+method+for+obtaining+new+ideas+and+solutions+by+focusing+on+problems?&hl=en&ei=uAzwTLCMAYemcIHtqasK&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCQQ6AEwAA#v=snippet&q=Environmental%20analysis&f=false
(page 200) 100% sure

Question No: 11 (Marks: 1) - Please choose one
Which of the following is a idea generation method that focuses on parameters?
Brainstorming
Reverse brainstorming
Creative problem solving
Synectics

Reference: Page 40
Question No: 12 (Marks: 1) - Please choose one
Which of the following is a more structured method of problem solving, including principles and rules for concept formation, making observations and experiments, and finally validating the hypothesis?
Scientific method
Heuristics
Attribute listing
Value analysis
Reference : page 41
Question No: 13 (Marks: 1) - Please choose one
Which of the following is the most important factor for the entrepreneur, while starting a new venture, to make an assessment of business?
Profit
Risk
Market
Competitors
It is important that the entrepreneur make an assessment of risk in the following manner: The entrepreneur should indicate the potential risks to the new venture. Next should be a discussion of what might happen if these risks become reality. Finally the entrepreneur should discuss the strategy to prevent, minimize, or respond to these risks. The entrepreneur should also provide alternative strategies should these risk factors occur.
Question No: 14 (Marks: 1) - Please choose one
The goals of venture should have all of the following characteristics to be successful, EXCEPT:
Measurable
Specific

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Properly monitored
Independent of time

To be successful • Goals should be specific. • They should also be measurable and should be monitored over time.
Question No: 15 (Marks: 1) - Please choose one
Which of the following kind of need should be documented by the entrepreneur before preparing the plan?
Market
Customer
Investor s
His own
The entrepreneur should also document customer needs before preparing the plan (page 60)
Question No: 16 (Marks: 1) - Please choose one
The marketing plan section of the business plan should focus on strategies for how many years of the venture?
2
3
4
5
reference (page 61)
Question No: 17 (Marks: 1) - Please choose one
Secondary data can be obtained from all of the following sources, EXCEPT:
Internet
Magazine
Bureau of statistics
Focus group
secondary data, found in trade magazines, libraries, government agencies, and the Internet (page 62)
Question No: 18 (Marks: 1) - Please choose one
Which of the following is the simplest approach of gathering primary data?
Interviews
Observations
Surveys
Focus Group

Gathering Information from Primary Sources

Information that is new is primary data. Observation is the simplest approach.

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Question No: 19 (Marks: 1) - Please choose one
In which of the following entity capital rising entirely depends on the entrepreneur?
Corporation

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Sole Proprietorship
Partnership
All of the above
Question No: 20 (Marks: 1) - Please choose one
Which of the following represents the environment in which entrepreneurship can't grow?
Boom
Vacuum
Maturity
Introductory Phase

Question No: 21 (Marks: 1) - Please choose one

Which of the following shows the standard acceptable term of a Limited Liability Company?
Three
Ten
Twenty
Thirty
6. The standard acceptable term of an LLC is 30 years. (page 73)
Question No: 22 (Marks: 1) - Please choose one
In entrepreneurship the starting capital is also called:
Equity Capital
Seed Capital
Financial Capital
Short term Capital
What Does *Seed Capital* Mean?
The initial capital used to start a business. Seed capital often comes from the company founders' personal assets or from friends and family. The amount of money is usually relatively small because the business is still in the idea or conceptual stage. Such a venture is generally at a pre-revenue stage and seed capital is needed for research & development, to cover initial operating expenses until a product or service can start generating revenue, and to attract the attention of venture capitalists.
Question No: 23 (Marks: 1) - Please choose one
Which one of the following an entrepreneur must develop while preparing a pro forma of sales budget?
Cash flow statement
Balance sheet
Income statement
Statement of retained earnings
(Reference page 75)
In the preparation of the pro forma income statement, the entrepreneur must first develop a sales budget, an estimate of the expected volume of sales by month.

Question No: 24 (Marks: 1) - Please choose one
For how many years should a financial plan needs to provide the projected financial data?
One

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Three
Five
Ten
In general, the financial plan will need three years of projected financial data for outside investors.(page 75)
Question No: 25 (Marks: 1) - Please choose one
In the preparation of the pro forma income statement, the entrepreneur must have to develop first:
A production budget
A sales budget
An operating budget
A capital budget
In the preparation of the pro forma income statement, the entrepreneur must first develop a sales budget, an estimate of the expected volume of sales by month. (page 75)
Question No: 26 (Marks: 1) - Please choose one
Which of the following statement provides projections of all operating expenses for each month of the first year?
The pro forma balance sheet
The pro forma income statement
The pro forma cash flow statement
The actual balance sheet
The pro forma income statements also provide projections of all operating expenses for each month of the first year.(page 78)
Question No: 27 (Marks: 1) - Please choose one
In which of the following sources the large positive cash flow may need to be invested?
Long term
Short term
Average term
None of the above options

Large positive cash flows may need to be invested in short term sources. (page 78)

Question No: 28 (Marks: 1) - Please choose one
Which of the following is NOT the determinant of entrepreneur's ownership?
Cash
Debt
None of the given options
Equity

Question No: 29 (Marks: 1) - Please choose one
Which of the following cannot be used as basis of loan?
Worth of the business
Perishable item
Fixed asset
All of the given options
(page 83)
Question No: 30 (Marks: 1) - Please choose one

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In inventory loans, finished goods inventory can be financed up to what percent of inventory value?
50%
70%
80%
100%

Finished goods inventory can be financed up to 50% of value.(page 78)

Question No: 31 (Marks: 1) - Please choose one
What is the practical maximum limit to the amount of loan guaranteed by Small Business Administration for starting of new venture?
$ ten thousand
$ hundred thousand
$ one million
There is no limit
Ref:Page No.86: For most SBA loans, there is no limit to the amount of loan money requested, but there is practical limit of $1 million.

Question No: 32 (Marks: 1) - Please choose one
The overall coordinating party in an agreement is:
Limited partner
Major partner
Minor partner
General partner

Question No: 33 (Marks: 1) - Please choose one
Which of the following is the oldest development financing institution?
Small Business Finance Corporation
Khushhali Bank
Regional Development Finance Corporation
Industrial Development Bank of Pakistan
Ref.Page No.94: IDBP is Pakistan's one of the oldest development financing institution created with the primary objective of extending term finance for investment in the manufacturing sectors in the economy.
Question No: 34 (Marks: 1) - Please choose one
Which of the following is a type of leverage ratio?
Debt ratio
Net profit margin
Return on investment
Current ratio
Question No: 35 (Marks: 1) - Please choose one
A source of cash resulting from an entrepreneur selling the business is called:
Positive cash flow
Negative cash flow
Terminal value

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Earnings valuation
Ref. Page No.106: Final cash flow value, the terminal value, is a source of cash when the entrepreneur sells the business
Question No: 36 (Marks: 1) - Please choose one
Which of the following can be used for collateral?
Shares
Tangible property
All of the given options
Real State
http://www.streetdirectory.com/travel_guide/183687/loans/types_of_collateral.html

Question No: 37 (Marks: 1) - Please choose one
The _____ venture capital firm invests in technology created by the school
Corporate
University-sponsored
SBA
State-sponsored
http://books.google.com.pk/books?id=s01P0agnLPUC&pg=PA138&dq=Which+one+of+the+following+is+a+method+for+obtaining+new+ideas+and+solutions+by+focusing+on+problems?&hl=en&ei=uAzwTLCMAYemcIHtqasK&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCQQ6AEwAA#v=snippet&q=economic%20activity%20together&f=false

Question No: 38 (Marks: 1) - Please choose one
In most cases, the venture capitalist:
Seeks control of the company
Never expects a seat on the board of directors
Expects the management team to run the daily operations
Prefers not to interfere in planning and expertise areas
http://highered.mcgraw-hill.com/sites/0073530328/student_view0/chapter12/web_quizzes.html

Question No: 39 (Marks: 1) - Please choose one
Determining first-mover advantage depends on all of the following, EXCEPT:
The ability of the company to maintain a legal monopoly in the market
The stability of the environment surrounding the entry
The ability of the entrepreneur to erect barriers to entry and imitation in order to extend the firm's lead time
The ability of the entrepreneur to educate customers
http://highered.mcgraw-hill.com/sites/0073530328/student_view0/chapter3/web_quizzes.html

Question No: 40 (Marks: 1) - Please choose one
Which of the following would be an advantage of starting a new business over

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acquisition?
Established customer base
Customer response to location
Existing employees
All of the given options

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